



July 16,
March 7, 2001

Christina L. Kamnikar
Division of Minerals and Geology
Department of Natural Resources
1313 Sherman Street, Room 215
Denver, CO 80203

RECEIVED

JUL 19 2001

Division of Minerals and Geology

Re: Southdown, Inc.
Permit # 77-361
Permit # 77-208
Permit # M-93-041
Permit # M-77-341

Dear Ms. Kamnikar:

As you know, Southdown, Inc. ("Southdown") is the owner/operator of a cement productions facility and aggregate quarries near Lyons, Colorado which holds the above referenced permits overseen by the Colorado Division of Minerals and Geology.

We write you to advise you that on November 6, 2000 a tender offer for all the issued and outstanding shares of Southdown, Inc. was completed. As a result of the transaction, Southdown is now an indirect subsidiary of CEMEX, S. A. de C.V. (Cemex). Following the acquisition by Cemex, Southdown continued to own and operate the Lyons, Colorado facility. Operations and plant personnel were unchanged by this transaction.

We also wish to inform you that Southdown is in the process of changing its name to CEMEX, Inc. Again, the operations and plant personnel will remain unchanged.

Please notify us if there are any additional regulatory requirements that must be satisfied to ensure that this name change is properly reflected in your records. Should you have any questions please feel free to contact me at (303) 823-2113.

Sincerely,

Steve Mossberg
Compliance Manager

cc: Daniel W. Heintz

ATTACHMENTS

- 1. Letter**
- 2. \$500.00 Check (4 Application Transfer Fees @ \$125.00 each)**
- 3. 4 Application Transfer Packages**
- 4. 4 Bond Riders reflecting name change**
- 5. State of Incorporation Name Change Certificate**
- 6. State of Colorado Corporation Certificate reflecting name change**

Wachovia Bank, N.A.
Greenville, South Carolina
In Cooperation with & Payable If Desired at
WELLS FARGO BANK, N.A.
#4759-608136

SOUTHDOWN, INC.
1200 Smith Street, Suite 2400
Houston, Texas 77002

Check Number: 872645
Check Date: 6/29/01
VOID AFTER 90 DAYS

Pay this amount:

\$*****500.00

Pay to the
Order Of:

DIVISION OF MINERALS & GEOLOGY
STATE OF COLORADO
1313 SHERMAN ST ROOM 215
DENVER CO 80203

SOUTHDOWN, INC..

Hb H
L Craig Carleton

⑈0000872645⑈ ⑆053200019⑆5404 37233⑈

INVOICE DATE	DOCUMENT NO.	GROSS	DISCOUNT	NET AMOUNT
6/27/01 AT	21178 INV#21178	500.00	.00	500.00
432786				

VENDOR No: 37400 Ph: 713-650-6200

INVOICE DATE	DOCUMENT NO.	GROSS	DISCOUNT	NET AMOUNT
6/29/01	** Total SOUTHDOWN, INC.	Check# 1200	872645 Smith Street,	500.00 Suite 2400

Secretary of State
Corporations Section

For office use only

012

Please include a typed
self-addressed envelope

RECEIVED

JUL 19 2001

Division of Minerals and Geology

FILED - CUSTOMER COPY
DONETTA DAVIDSON
COLORADO SECRETARY OF STATE

20011061110 C

\$ 75.00

SECRETARY OF STATE

07-23-2001 10:26:32

MUST BE TYPED
FILING FEE: \$25.00
MUST SUBMIT TWO COPIES

CHANGE OF NAME APPLICATION FOR AMENDED AUTHORITY

Pursuant to the provisions of the Colorado Business Corporation Act, the undersigned corporation hereby applies for an Amended Authority and states:

FIRST: The name of the corporation is: Southdown, Inc.

SECOND: If the corporate name was not available, the assumed name of the corporation is: _____

THIRD: _____ (Check if Applicable) The corporate name of the corporation has become available in Colorado and the corporation desires to amend its Authority to reflect the corporate name on the records of the Secretary of State.

_____ The corporation has amended the period of duration in its Articles of Incorporation to _____

X _____ The corporation has changed its name to CEMEX, Inc.

_____ The name which it elects to use in Colorado is: _____

_____ (If its corporate name is not available for use in Colorado)

_____ The corporation has redomesticated from _____ to _____

FOURTH: This application is accompanied by a Certificate of Fact, duly authenticated by the proper officer in the state or country of incorporation (or redomestication as the case may be) certifying the statement(s) made above.

CEMEX, Inc.

Name of Corporation

Signature Yusef I. White

Title Asst Secretary



STATE OF COLORADO

DEPARTMENT OF
STATE

CERTIFICATE

I, DONETTA DAVIDSON, SECRETARY OF STATE OF THE STATE OF
COLORADO HEREBY CERTIFY THAT

ACCORDING TO THE RECORDS OF THIS OFFICE

CEMEX, INC.
(LOUISIANA CORPORATION)

FILE # 19911018378 WAS FILED IN THIS OFFICE ON March 21, 1991
AND HAS COMPLIED WITH THE APPLICABLE PROVISIONS OF THE
LAWS OF THE STATE OF COLORADO AND ON THIS DATE IS IN GOOD
STANDING AND AUTHORIZED AND COMPETENT TO TRANSACT BUSINESS
OR TO CONDUCT ITS AFFAIRS WITHIN THIS STATE.

Dated: March 23, 2001

Donetta Davidson

SECRETARY OF STATE

For office use only

Mail to: Secretary of State
Corporations Section
1560 Broadway, Suite 200
Denver, CO 80202
(303) 894-2251
Fax (303) 894-2242

MUST BE TYPED
FILING FEE: \$10.00
MUST SUBMIT TWO COPIES

PLEASE INCLUDE A TYPED
SELF-ADDRESSED ENVELOPE

APPLICATION FOR
RESERVATION OF NAME

FILED - CUSTOMER COPY
DONEITA DAVIDSON
COLORADO SECRETARY OF STATE

20011061119 C
\$ 50.00
SECRETARY OF STATE
03-23-2001 10:28:48

To the Secretary of State of the state of Colorado:

Pursuant to the provisions of the Colorado Business Corporation Act, Colorado Nonprofit Corporation Act, Colorado Uniform Limited Partnership Act of 1981 or the Colorado Limited Liability Company Act, the undersigned hereby applies for reservation of the following name for a period of one hundred twenty days:

1ST CHOICE: Southdown, Inc.



Agent
Corporation Service Company
Typed name of applicant
1560 Broadway, Denver, CO, 80202
Pam Trujillo, John Long, Kurt Plender

UNITED STATES OF AMERICA

State of Louisiana

Jox McKeithen

SECRETARY OF STATE

As Secretary of State, of the State of Louisiana, I do hereby Certify that
a copy of an Amendment to the Articles of Incorporation of
SOUTHDOWN, INC.

Domiciled at NEW ORLEANS, LOUISIANA, changing the corporate
name to

CEMEX, INC.

Was filed and recorded in this Office on February 28, 2001.

*In testimony whereof, I have hereunto set
my hand and caused the Seal of my Office
to be affixed at the City of Baton Rouge on.*

February 28, 2001

Jox McKeithen

ABA 13000400D 35044355

Secretary of State



FOX MCKEITHEN
Secretary of State
Received & Filed
DATE FEB 28 2001

ARTICLES OF AMENDMENT TO
RESTATED ARTICLES OF
INCORPORATION OF
SOUTHDOWN, INC.

§
§
§
§
§

STATE OF TEXAS
COUNTY OF HARRIS
CITY OF HOUSTON

BE IT KNOWN, That on this 27th day of February, 2001,

BEFORE ME, EVA GUJARDO, a Notary Public, duly
commissioned and qualified in and for the County of Harris, State of Texas, and in the presence
of the witnesses hereinafter named and undersigned:

PERSONALLY CAME AND APPEARED:

GILBERTO PEREZ and JILL SIMEONE appearing herein and
acting for Southdown, Inc. (of which corporation they are, respectively, Exec. Vice President
and Asst. Secretary), a corporation organized and existing under the laws of the
State of Louisiana, domiciled in the Parish of Orleans, State of Louisiana, organized by Articles
of Incorporation effective April 4, 1930, which Articles, as amended, were restated pursuant to
Restated Articles of Incorporation effective September 15, 1983, and further amended as of
April 10, 1987, December 2, 1987, April 23, 1988, May 23, 1988, March 4, 1991, January 25,
1994, June 26, 1998, and July 17, 1998 ("Corporation"), who declared that pursuant to Sections
31 and 32 of the Louisiana Business Corporation Law, resolutions of the Board of Directors of
the Corporation adopted by unanimous written consent dated February 26, 2001 and resolutions
of the sole shareholder of the Corporation, they now appear for the purpose of executing this act
of amendment and putting into authentic form the amendment so adopted by the Board of
Directors and the sole shareholder of the Corporation.

AND THE SAID APPEARERS further declare that by a unanimous vote of the Board of
Directors of the Corporation and that all of the outstanding shares of capital stock of the
Corporation were voted by the sole shareholder of said Corporation in favor of the following
amendment, and it was:

RESOLVED, that Article I of the Restated Articles of Incorporation, as amended of
Southdown, Inc. be amended so that:

1. The sole paragraph appearing under Article I is hereby deleted and there is
substituted in its place the following:

The name of the corporation shall be CEMEX, Inc.

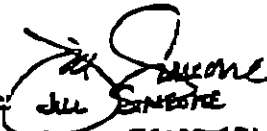
APPEARERS FURTHER stated that all of the shares of the Corporation have par value;
that the Corporation is authorized to issue 210,000,000 shares, of which 200,000,000 are
common shares of the par value of \$1.25 and 10,000,000 are preferred shares of the par value of
\$0.05 per share.

AND SAID APPEARERS having requested me, Notary, to note said amendment in authentic form, I do by these presents receive said amendments in the form of this public act to the end that said amendment may be promulgated and recorded and thus be read into the Restated Articles of Incorporation of Southdown, Inc., as hereinabove set forth.

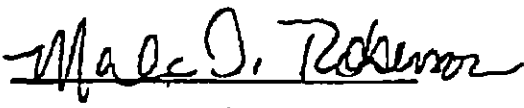
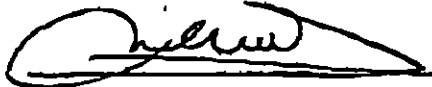
THUS DONE AND PASSED, in my office at Houston, Harris County, State of Texas, on the day, month and year first above written, in the presence of the undersigned competent witnesses, who hereto sign their names with the said appearers and me, Notary, after a due reading of the whole.

SOUTHDOWN, INC.

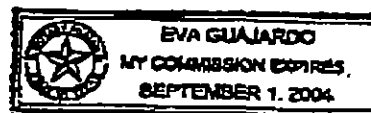
By: 
Name: GILBERTO PEREZ
Title: EXECUTIVE V.P.

By: 
Name: JUAN SIMEONE
Title: ASST. SECRETARY, GENERAL COUNSEL, VP

WITNESSES:

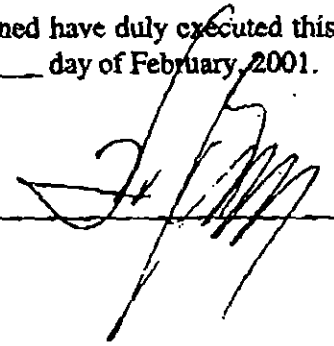

NOTARY PUBLIC



**UNANIMOUS WRITTEN CONSENT
OF THE BOARD OF DIRECTORS
OF
SOUTHDOWN, INC.**

The undersigned, being all of the directors of Southdown, Inc., a Louisiana corporation (the "Company"), and being entitled to vote upon the resolutions attached hereto as Annex A (the "Resolutions") as if the same had been submitted at a formal meeting of the Board of Directors of the Company duly called and held for the purpose of acting upon the Resolutions, do hereby consent, in accordance with Section 81(C)(9) of the Business Corporation Law of the State of Louisiana, that the Resolutions are deemed to be adopted to the same extent and to have the same force and effect as if adopted by unanimous vote at a formal meeting of the Board of Directors of the Company duly called and held for the purpose of acting upon proposals to adopt the Resolutions.

IN WITNESS WHEREOF, the undersigned have duly executed this Unanimous Written Consent in counterparts to be effective as of the ____ day of February, 2001.

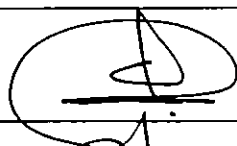


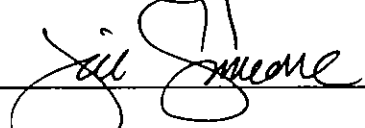
Being all of the directors of Southdown, Inc., a
Louisiana corporation

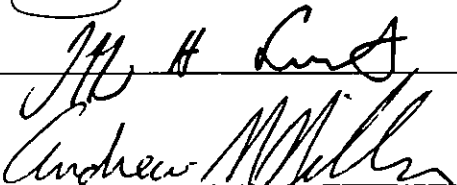
**UNANIMOUS WRITTEN CONSENT
OF THE BOARD OF DIRECTORS
OF
SOUTHDOWN, INC.**

The undersigned, being all of the directors of Southdown, Inc., a Louisiana corporation (the "Company"), and being entitled to vote upon the resolutions attached hereto as Annex A (the "Resolutions") as if the same had been submitted at a formal meeting of the Board of Directors of the Company duly called and held for the purpose of acting upon the Resolutions, do hereby consent, in accordance with Section 81(C)(9) of the Business Corporation Law of the State of Louisiana, that the Resolutions are deemed to be adopted to the same extent and to have the same force and effect as if adopted by unanimous vote at a formal meeting of the Board of Directors of the Company duly called and held for the purpose of acting upon proposals to adopt the Resolutions.

IN WITNESS WHEREOF, the undersigned have duly executed this Unanimous Written Consent in counterparts to be effective as of the ____ day of February, 2001.







Being all of the directors of Southdown, Inc., a
Louisiana corporation

**RESOLUTIONS OF
THE BOARD OF DIRECTORS OF
SOUTHDOWN, INC.**

Amendment of Articles of Incorporation of Southdown, Inc.

WHEREAS, as a result of the transactions completed at the end of the fiscal year 2000, the Board of Directors of Southdown, Inc., a Louisiana corporation (the "Corporation") deems it to be in the best interest of the Corporation to change the name of the Corporation to CEMEX, Inc.;

NOW, THEREFORE, IT IS HEREBY--

RESOLVED, that the sole paragraph appearing under Article I of the Restated Articles of Incorporation, as amended of the Corporation be deleted in its entirety and amended to read as follows:

"The name of this Corporation shall be CEMEX, Inc."

; and further

RESOLVED, that the Board of Directors of the Corporation hereby directs that the foregoing amendment to the Restated Articles of Incorporation, as amended, of the Corporation be submitted to the Corporation's shareholder for its approval and that the Board of Directors of the Corporation recommends approval of such amendment; and further

RESOLVED, that upon receipt of the approval of the Corporation's shareholder that the Corporation file or cause to be file Articles of Amendment to the Restated Articles of Incorporation, as amended with the Secretary of State of the State of Louisiana, with such changes thereon as the officer executing the same shall approve; and further

RESOLVED, that the officers of the Corporation are hereby authorized to file, or cause to be filed, any and all other filings or certifications with any other jurisdictions where the Corporation transacts business as a foreign corporation, or where the conduct of the Corporation's business or the ownership of its properties would require the Corporation to make a filing to reflect the change of the Corporation's name; and further

RESOLVED, that the Bylaws of the Corporation are hereby amended to be the Bylaws of CEMEX, Inc., a Louisiana corporation; and further

Name Change of Subsidiary Entities

RESOLVED, that the officers of the Corporation are hereby authorized and directed to execute and deliver any and all amendments, filings, certificates or other documents to effect the name change of the following subsidiaries which are owned by the Corporation: Southdown California Aggregates, Inc., Southdown Finance, Inc., Southdown Concrete Products, Inc., Southdown California Cement LLC, Southdown SMI Holdings LLC, Southdown Environmental LLC and Canadian Medusa Cement Ltd., including any filings which are necessary in those states where such entities are qualified to transact business as a foreign corporation or entity, or where the conduct of each of such entity's business would require such a filing; and further

General

RESOLVED, that each of the officers of the Corporation be, and hereby is, in accordance with the foregoing resolutions, authorized, in the name and on behalf of the Corporation, to prepare, execute and deliver any and all certificates, agreements, amendments, instruments, reports, schedules, statements, consents, documents and information (including any certificates or filings with applicable governmental authorities and any and all amendments to Bylaws or other governance documents to reflect the name change) and to incur all such fees and expenses as in such officer's judgment shall be necessary, appropriate or advisable with respect to the transactions contemplated by the foregoing resolutions, and to take all other actions that such officer deems necessary, appropriate or advisable in order to comply with the applicable laws and regulations of any jurisdiction, or otherwise to effectuate and carry out the purposes of the foregoing resolutions and to permit the transactions contemplated by the foregoing resolutions to be lawfully consummated, the taking of any such actions and the execution of any such agreements or other documents conclusively to evidence the due authorization thereof by the Corporation; and further

RESOLVED, that all lawful actions previously taken by any officer, director, representative or agent of the Corporation, by or on behalf of the Corporation or any of its affiliates in connection with the acts, transactions and agreements contemplated by the foregoing resolutions be, and each of the same hereby is, adopted, ratified, confirmed and approved in all respects as the act and deed of the Corporation; and further

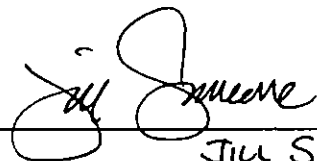
RESOLVED, that the Secretary or the Assistant Secretary of the Corporation be, and each of them hereby is, authorized and empowered to certify as to all matters pertaining to the acts, transactions or agreements contemplated in the foregoing resolutions.

**WRITTEN CONSENT
OF THE SOLE SHAREHOLDER
OF
SOUTHDOWN, INC.**

The undersigned, being the sole shareholder of Southdown, Inc., a Louisiana corporation (the "Company"), and being entitled to vote upon the resolutions attached hereto as Annex A (the "Resolutions") as if the same had been submitted at a formal meeting of the shareholders of the Company duly called and held for the purpose of acting upon the Resolutions, do hereby consent, in accordance with Section 76 of the Business Corporation Law of the State of Louisiana, that the Resolutions are deemed to be adopted to the same extent and to have the same force and effect as if adopted by unanimous vote at a formal meeting of the shareholders of the Company duly called and held for the purpose of acting upon proposals to adopt the Resolutions.

IN WITNESS WHEREOF, the undersigned has duly executed this Written Consent to be effective as of the ____ day of February, 2001.

CENA HOLDING INC.

By: 
Name: Jill Simone
Title: CEO

Being the sole shareholder of Southdown, Inc., a
Louisiana corporation

**RESOLUTIONS OF
THE SOLE SHAREHOLDER OF
SOUTHDOWN, INC.**

Amendment of Articles of Incorporation of Southdown, Inc.

WHEREAS, as a result of the transactions completed at the end of the fiscal year 2000, the Board of Directors of Southdown, Inc., a Louisiana corporation (the "Corporation") has recommended to the sole shareholder of the Corporation that the Corporation change its name to CEMEX, Inc.;

NOW, THEREFORE, IT IS HEREBY

RESOLVED, that the proposal to change the name of the Corporation to CEMEX, Inc. by means of an amendment to the Corporation's Restated Articles of Incorporation, as amended, be and it hereby is authorized and approved in all respects; and further

RESOLVED, that the form, terms and provisions of the Articles of Amendment to Restated Articles of Incorporation of Southdown, Inc. be and they hereby are authorized and approved, and that the President, any Vice President, any Secretary or any Assistant Secretary, be and he or she hereby is, authorized and directed to take, in the name and on behalf of the Corporation, any and all actions as are necessary to effect the intent of the foregoing resolutions, including filing the Articles of Amendment to Restated Articles of Incorporation with the Secretary of State of the State of Louisiana, with such changes as the officer or officers executing same shall approve, such approval to be evidenced by each officer's signatures thereon; and further

RESOLVED, that the officers of the Corporation be and they are hereby authorized to prepare (or cause to be prepared), execute and file (or cause to be filed) with the Secretary of State of Louisiana any and all documents necessary or appropriate to effect the intent of the foregoing resolutions; and further

RESOLVED, that the officers of the Corporation be and they are hereby authorized to prepare (or cause to be prepared), execute and file (or cause to be filed) such other documents, instruments, amendments, certificates or other filings necessary to reflect the change of the Corporation's name in those jurisdictions where such filing may be required; and further

General

RESOLVED, that each of the officers of the Corporation be, and hereby is, in accordance with the foregoing resolutions, authorized, in the name and on behalf of the Corporation, to prepare,

execute and deliver any and all certificates, agreements, instruments, reports, schedules, statements, consents, documents and information and to incur all such fees and expenses as in such officer's judgment shall be necessary, appropriate or advisable with respect to the transactions contemplated by the foregoing resolutions, and to take all other actions that such officer deems necessary, appropriate or advisable in order to comply with the applicable laws and regulations of any jurisdiction, or otherwise to effectuate and carry out the purposes of the foregoing resolutions and to permit the transactions contemplated by the foregoing resolutions to be lawfully consummated, the taking of any such actions and the execution of any such agreements or other documents conclusively to evidence the due authorization thereof by the Corporation; and further

RESOLVED, that all lawful actions previously taken by any officer, director, representative or agent of the Corporation, by or on behalf of the Corporation or any of its affiliates in connection with the acts, transactions and agreements contemplated by the foregoing resolutions be, and each of the same hereby is, adopted, ratified, confirmed and approved in all respects as the act and deed of the Corporation; and further

RESOLVED, that the Secretary or the Assistant Secretary of the Corporation be, and each of them hereby is, authorized and empowered to certify as to all matters pertaining to the acts, transactions or agreements contemplated in the foregoing resolutions.

STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY
Department of Natural Resources

1313 Sherman St., Room 215
Denver, Colorado 80203
Phone: (303) 866-3567
FAX: (303) 832-8106

RECEIVED

JUL 19 2001

Division of Minerals and Geology



Bill Owens
Governor

Greg E. Walcher
Executive Director

Michael B. Long
Division Director

TRANSFER OF PERMIT AND SUCCESSION OF OPERATORS APPLICATION FORM

The application for a Transfer of Permit and Succession of Operators must contain four (4) major parts: 1) an Application Form; 2) an Application Fee; 3) a Performance Warranty (attached as part of the Application Package) bearing the original notarized signature of the Successor Operator; and, 4) a replacement Financial Warranty provided by the Successor Operator, bearing an original notarized signature. To expedite processing, please provide the information in the format and order described below.

M-77-341
Receipt 5768
\$125.00

I. FINANCIAL WARRANTY INFORMATION (Choose **ONE** Option):

1. Option A: _____
(Initial & Date)

I wish to WAIVE MY RIGHT to a 30-day processing time to allow the Division of Minerals and Geology to recalculate the Financial Warranty requirements. If you choose Option A you should not submit a Financial Warranty and Performance Warranty until the Division notifies you of the correct amount of your warranty requirements.*

2. Option B: _____ X
(Initial & Date)

I DO NOT WISH TO WAIVE MY RIGHT to a 30-day processing time. I hereby submit a replacement Financial Warranty for the same dollar amount as the Financial Warranty maintained by the current operator. I understand that the Division of Minerals and Geology will recalculate the required reclamation bond within 60-days from the date that the transfer is completed and the required FINANCIAL WARRANTY COULD BE SUBSTANTIALLY INCREASED at that time. As the new operator, I agree to be responsible for posting any required increase to the financial warranty for good cause shown, in a form acceptable to the Board, within 60-days of such notice.

II. **ADMINISTRATIVE INFORMATION:**

1. Permit Number: M-77-341

2. Operation Name: Larimer County Quarry

3. **Current Permitted Operator:**

Contact Person: John Lohr

Company Name: Southdown, Inc.

Street: P.O. Box 529

City: Lyons

State: Colorado Zip Code: 80540

Area Code: 303 Telephone: 823-2100

4. **Successor Operator:**

Contact Person: John Lohr

Company Name: CEMEX, Inc.

Street: P.O. Box 529

City: Lyons

State: Colorado Zip Code: 80540

Area Code: 303 Telephone: 823-2100

IRS Tax ID No. or Social Security No.: [REDACTED]

5. **Application Fee:** \$100.00 for Hard Rock operations; \$125.00 for Construction Materials operations
Make check payable to the Division of Minerals and Geology

III. 1. Yes: X

No:

As the successor operator do you have a complete copy, as is available, of the approved reclamation application to include any permit modifications?

A copy of the approved application and any modifications to the permit may be purchased through the Division. Unless you specify which portions of the permit file you want copied the entire file will be copied. The Division will send the entire file, or portions you specify, to an outside vendor and you will be billed accordingly.

2. Yes: X

No:

Have you verified that the permit area you are assuming reclamation responsibility for is the area described in the approved permit application?

3. Yes: X

No:

Have you verified that you have legal right of entry to conduct mining and reclamation?

IV. RECITALS

1. On September 26, 1984, Permit Number M-77-341 was granted to Southdown, Inc. (existing operator) ("Permittee"), pursuant to which Permittee has been conducting a mining operation in the County of Larimer, State of Colorado.
2. Permittee wishes to assign the permit to CEMEX, Inc. (new operator), as Successor Operator ("Successor") and Successor wishes to become Successor Permittee under the permit.
3. Successor understands that the reclamation plan (the "Plan") required by the permit and by applicable State laws and regulations has not been completed and is willing to assume full responsibility for the completion of the Plan.

V. AGREEMENTS

Permittee and Successor hereby agree, for their own benefit and for the benefit of the State, such agreements to be effective ipso facto upon the approval by the State of the transfer of the Permit from Permittee to Successor, as follows:

1. Successor has inspected the mining and reclamation operations to its entire satisfaction and is fully aware of the conditions thereof. Successor understands and accepts all of the conditions of the Permit.
2. Successor will complete the reclamation plan, and hereby assumes liability for completing such plan as to all areas heretofore disturbed, as well as to all areas hereafter disturbed. Successor will perform all of the obligations of the Permittee under the Permit which have not heretofore been performed by Permittee.
3. Successor hereby tenders to the State its attached Performance and Financial Warranties*, which are to be substituted for the Performance and Financial Warranties heretofore filed by the Permittee, effective upon the release of the latter Warranties.
4. Successor represents to the State that, to the best of its knowledge, information and belief, it is not in violation of any of the provisions of the Colorado Mined Land reclamation Act with respect to any other operation conducted by it in the State of Colorado.

Permittee and Successor hereby request the State to consent to the assignment of the Permit, to recognize Successor as Successor Operator under the Permit, and to accept the tendered substitute Performance and Financial Warranties in place of the Warranties presently on file with the State.

PERMITTEE

Southdown, Inc.

Name of Permittee

By *Daniel W. Heintz*
Signature of Officer

Vice President, Environmental Affairs
Title of Officer

SUCCESSOR OPERATOR

CEMEX, Inc.

Name of Successor

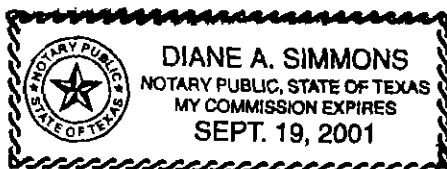
By *Daniel W. Heintz*
Signature of Officer

Vice President, Environmental Affairs
Title of Officer

NOTARY FOR PERMITTEE

State of *Texas*
County of *Harris*

The foregoing instrument was acknowledged before me this *8th* day of *March* *2001*, by
Daniel W. Heintz as *Vice President* of
Environmental Affairs

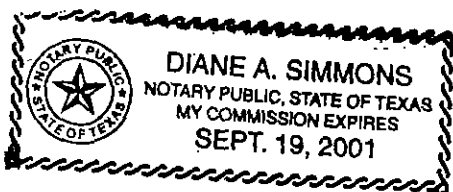


Notary Public *Diane A. Simmons*
My Commission Expires _____

NOTARY FOR SUCCESSOR

State of *Texas*
County of *Harris*

The foregoing instrument was acknowledged before me this *8th* day of *March* *2001*, by
Daniel W. Heintz as *Vice President* of
Environmental Affairs



Notary Public *Diane A. Simmons*
My Commission Expires _____

CONSENT OF STATE

(a) Consent is hereby granted to the transfer of the Permit referred to
from _____ to _____.

(b) _____ is hereby recognized as Successor
Operator under such Permit.

(c) The Performance and Financial Warranty substitution above proposed is hereby accepted and
approved.

STATE OF COLORADO
DEPARTMENT OF NATURAL RESOURCES
MINED LAND RECLAMATION BOARD
DIVISION OF MINERALS AND GEOLOGY

By _____
Division Director

Date Executed _____

M:\MIN\BDC\MINFORMS\3117F.WPF
(10/07/99)

STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY
Department of Natural Resources

1313 Sherman St., Room 215
Denver, Colorado 80203
Phone: (303) 866-3567
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JUL 19 2001

Division of Minerals and Geology



PERFORMANCE WARRANTY

Bill Owens
Governor

Greg E. Walcher
Executive Director

Michael B. Long
Division Director

Operator: CEMEX, Inc.

Operation: Larimer County Quarry

Permit No: M-77-341

KNOW ALL MEN BY THESE PRESENTS, THAT:

WHEREAS, the Colorado Mined Land Reclamation Act, C.R.S. 34-32-101 et seq. (the "Act"), as amended, and the Colorado Land Reclamation Act for the Extraction of Construction Materials, C.R.S. 34-32.5-101 et seq. (the "Act"), as amended, provides that no permit may be issued under the Act until the Mined Land Reclamation Board (the "Board") receives a performance warranty (or warranties) that is a written promise to comply with all applicable requirements of the Act.

WHEREAS, CEMEX, Inc. (the "Operator"), has applied for a permit to conduct a mining operation known as Larimer County Quarry (the "Operation") on certain lands in Larimer County, Colorado. These lands are described in the permit application, as amended and supplemented, and are referred to herein as the "Affected Lands".

WHEREAS, in its application for the permit, the Operator has agreed to be bound by all requirements of the Act and all applicable rules and regulations of the Board, as amended from time to time.

WHEREAS, the Board has determined, in accordance with the Act, that the estimated costs of reclamation with regard to those affected lands in Larimer County which are now or may become subject to the permit are those amounts for the stated periods of time as set forth in the financial warranty, which may be amended from time to time to reflect revised estimates of said costs of reclamation.

WHEREAS, the Operator hereby gives the Board a performance warranty pursuant to Section 34-32-117(2) or Section 34-32.5-117(2) of the Act, and herein promises the Board that it will comply with all applicable requirements of the Act with regard to those Affected Lands.

NOW, THEREFORE, the Operator hereby promises the Board that it will comply with all applicable requirements of the Act and rules and regulations of the Board with respect to the Affected Lands.

FURTHER, the Operator hereby promises the Board that it will comply with all of the terms of the application for a permit, as amended and supplemented, as well as any conditions attached to the permit by the Board.

FURTHER, the Operator promises the Board, pursuant to 34-32-112(2)(d) or 34-32.5-112(1)(c)(iv) of the Act, that it has the lawful authority to enter upon the Affected Lands to conduct mining operations, including, but not limited to, reclamation. The Operator further recognizes the right of the Board to enter to reclaim lands affected by the operation.

The description of lands herein is for convenience of reference only, and no error in such description, nor any revision of the permitted mining area, nor the disturbance by the Warrantor of lands outside of the permitted mining area shall alter or diminish the Operator's obligation hereunder, which shall extend to the reclamation of all such lands disturbed.

The obligation of the Operator hereunder is such that, if the Operator shall successfully comply with the requirements of the Act, applicable rules and regulations, and the permit, then the Board, upon a finding that the Operator has so complied, shall release this performance warranty, and the Operator from its obligation hereunder, to the extent that the Board determines that such compliance has been accomplished. The obligation of the Operator hereunder shall continue until released in whole or in part by the Board in accordance with applicable law.

In further satisfaction of the requirements of the Act, the Operator promises to be responsible for the cost of reclamation up to the amount established by the Board and has attached hereto its financial warranty, which may be amended from time to time. The Operator agrees that it will maintain a financial warranty (or warranties) for the estimated costs of reclamation in good standing for the entire life of the permit. Please note that under the provisions of the Colorado Mined Land Reclamation Act and the Colorado Land Reclamation Act for the Extraction of Construction Materials, any Applicant or Operator that submits proof, acceptable to the Board or Division of Minerals and Geology, that an Applicant or Operator is a unit of County or Municipal government, or is a department or division of State government, the Applicant or Operator is not required to submit or post any other instrument of financial responsibility but hereby promises to be responsible for the cost of reclamation up to the amount specified by the Board.

If the Board determines that the Operator is in default under this performance warranty and has failed to cure such default, although written notice of such default and ample time to cure such default have been given, the Operator's financial warranty shall be subject to forfeiture.

This performance warranty may be executed in multiple copies, each of which shall be treated as an original, but together they constitute only one agreement, the validity and interpretation of which shall be governed by the laws of the State of Colorado.

The provisions hereof shall bind and inure to the benefit of the parties hereto and their successors -and assigns.

SIGNED, SEALED AND DATED this 8th day of March, 2001.

Daniel W. Heintz (SEAL)
Operator

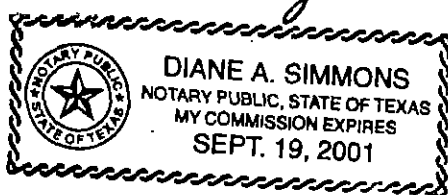
By: Daniel W. Heintz

Title: Vice President, Environmental Affairs

NOTARIZATION OF OPERATOR'S ACKNOWLEDGEMENT

STATE OF Texas)
COUNTY OF Harris) ss.

The foregoing instrument was acknowledged before me this 8th day of March, 2001, by Daniel W. Heintz as Vice President of Environmental Affairs.



Diane A. Simmons
NOTARY PUBLIC

My Commission expires: _____

APPROVED:
State of Colorado
Mined Land Reclamation Board
Division of Minerals and Geology

By: _____ Date: _____
Division Director